

to easily see how much of your spending goes to the essentials. At this point, you couldn't maintain your current lifestyle without working, but you could stop working without having to worry about going hungry or keeping a roof over your head. You could cover the basics with investment income, needing to earn only enough to cover any luxuries you desire.

The other milestone is achieved when your portfolio reaches twenty times your total annual spending. You could cover your total cost of living by drawing down 5 percent of your portfolio annually. While less safe than using a 4 percent withdrawal rate, this gives you a greater than 80 percent chance of maintaining your spending without running out of money based on historical data. It's conceivable you could leave your job at this point, with the stipulation that you're willing to be flexible with spending and/or earning if your investments don't perform well early in retirement.

6) FI

The next milestone is when your portfolio reaches twenty-five times your *entire* annual spending, which most people in the FI community use to define "financial independence." This is based on the 4% Rule. As we'll discuss in Chapter 12, this doesn't guarantee success.